SUPPLY CODE JURISPRUDENCE · SCJ-1975 · 11 PAGES · PROCEDURAL · PENDING

M/S Sisco Industries Ltd. v. State of U.P. & Others

High Court of Judicature at Allahabad · Division Bench · 11 December 2012 interim order (order-sheet 30.11.2012 to 26.8.2025; dismissed as infructuous 2.8.2024, restored 26.8.2025; writ pending) · 2024:AHC:125677-DB · WRIT - C No. 62180 of 2012 · **Writ pending; not finally decided on the merits. By interim order dated 11.12.2012 the Division Bench (Vineet Saran and Mushaffey Ahmad, JJ.), finding 'the matter requires consideration' and a prima facie case, stayed the effect and operation of the Executive Engineer's communication dated 5.11.2012 (which required the petitioner to register under Clause 4.27 of the Supply Code and pay 100% base demand charges to keep availing uninterrupted supply) and directed that the petitioner continue to receive the benefit it had prior to that order; the interim order was continued through numerous adjournments. On 2.8.2024 the writ was dismissed as infructuous for want of prosecution (interim order vacated), with liberty to seek recall within six weeks; on 26.8.2025 the delay-condonation and restoration applications were allowed, the dismissal recalled and the writ restored to its original number to be heard with the connected bunch led by Writ-C No.26512 of 2016 (M/s Ranjeeta Cold Storage & Ice Plant v. State of U.P.).**

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HEADNOTE

Interim order-sheet, presently pending after restoration, in a writ challenging a licensee's demand that an industrial consumer register under Clause 4.27 of the U.P. Electricity Supply Code, 2005 to continue enjoying uninterrupted supply. The petitioner, M/S Sisco Industries Ltd., operates in the U.P.S.I.D.C. industrial area, Naini, and since 2004 had been supplied uninterrupted power at scheduled rates under Clause 3.4.2.5 of the Industrial and Service Sector Investment Policy, 2004 (a policy reiterated by the State Government's letter dated 21.9.2012). It was aggrieved by a communication dated 5.11.2012 from the Executive Engineer (respondent no.5) requiring it to register under Clause 4.27 of the Supply Code for the 'protective load facility', which would entail an additional charge at 100% of base demand charges; the petitioner contended that, absent any change in the continuing 2004 policy, this demand was illegal and without authority of law. Respondents' counsel did not dispute that the petitioner had availed uninterrupted supply at scheduled rates since 2004, that the demand followed only from a licensee 'mistake ... which went unnoticed', and that other similarly situated consumers had likewise availed the facility without registering under Clause 4.27. On 11 December 2012 the Division Bench (Vineet Saran and Mushaffey Ahmad, JJ.) held that 'the matter requires consideration', found a prima facie case, and granted interim protection staying the communication dated 5.11.2012 and preserving the pre-existing benefit. After many adjournments the writ was dismissed as infructuous for want of prosecution on 2.8.2024 (interim order vacated) with liberty to seek recall; that dismissal was recalled and the writ restored on 26.8.2025, to be heard with a connected bunch (leading Writ-C No.26512 of 2016). The lawfulness of the Clause 4.27 registration demand and the 100% base-demand-charge levy remains undecided.

FACTUAL SUMMARY

M/S Sisco Industries Ltd. filed Writ-C No. 62180 of 2012 before the Allahabad High Court against the State of U.P. and others. The petitioner runs an industry in the U.P.S.I.D.C. industrial area, Naini. Its case was that under Clause 3.4.2.5 of the Industrial and Service Sector Investment Policy, 2004 there is to be uninterrupted power supply in industrial areas; that this policy was reiterated by the State Government's letter dated 21.9.2012; and that ever since the 2004 policy the petitioner had been provided uninterrupted power supply at scheduled rates, which it had been paying, the supply continuing. The petitioner was aggrieved by a communication dated 5.11.2012 issued by the Executive Engineer (respondent no.5) requiring it to get registered under Clause 4.27 of the Electricity Supply Code, 2005 for availing the 'protective load facility' of uninterrupted supply, which would require an additional charge at 100% of base demand charges. The petitioner contended that, being entitled to uninterrupted supply at scheduled rates under the continuing 2004 policy, any change requiring registration under Clause 4.27 (with the 100% base-demand-charge burden), without any change in the policy, was illegal and without authority of law. Counsel for the respondents did not dispute that the petitioner had availed uninterrupted supply at the scheduled rate since 2004, that this followed from a mistake of the respondent-corporation which had gone unnoticed and was now sought to be corrected, and that other similarly situated persons had also availed the facility without registering under Clause 4.27 since 2004. On 11 December 2012 the Division Bench (Vineet Saran and Mushaffey Ahmad, JJ.) found that the matter required consideration, directed counter and rejoinder affidavits, and, holding that a prima facie case for interim protection was made out, stayed the effect and operation of the order dated 5.11.2012 till the next date and directed that the petitioner be entitled to the same benefit as before the impugned order. The interim order was continued across several benches through 2013. On 2 August 2024 (neutral citation 2024:AHC:125677-DB; Mahesh Chandra Tripathi and Prashant Kumar, JJ.) the writ was dismissed as infructuous, no one appearing to press it and it appearing to have become infructuous by efflux of time, the interim order standing vacated, with liberty to move for recall within six weeks. On 26 August 2025 (Mahesh Chandra Tripathi and Nand Prabha Shukla, JJ.) the delay-condonation and restoration applications were allowed on sufficient cause shown (the petitioner stating that a similar controversy is pending in a bunch led by Writ-C No.26512 of 2016, M/s Ranjeeta Cold Storage & Ice Plant v. State of U.P. & Ors., and that the matter still survives), the order dated 2.8.2024 was recalled, and the writ was restored to its original number and directed to be listed.

REUSABLE CONSTRUCTIONS

1. Where an industrial consumer in a notified industrial area has since 2004 been provided uninterrupted power supply at scheduled rates under Clause 3.4.2.5 of the U.P. Industrial and Service Sector Investment Policy, 2004 (reiterated by the State in 2012), a subsequent licensee communication requiring it to register under Clause 4.27 of the U.P. Electricity Supply Code, 2005 and to pay an additional charge at 100% of base demand charges to continue that supply may be held to 'require consideration', and interim protection may issue staying the communication and preserving the pre-existing benefit. order of 11.12.2012
2. A prima facie case for interim protection is fortified where the licensee's counsel concedes that the consumer had availed the facility at scheduled rates since 2004, that the fresh registration/charge demand followed only from a licensee 'mistake ... which went unnoticed', and that other similarly situated consumers had likewise availed the facility without registering under Clause 4.27. order of 11.12.2012
3. A writ dismissed as infructuous for want of prosecution (with the interim order thereby vacated) and with liberty to seek recall within a stated period may be restored on a delay-condonation and restoration application showing sufficient cause - here, that a similar controversy is pending in a connected bunch (leading Writ-C No.26512 of 2016) and the matter still survives - whereupon the dismissal is recalled and the interim protection revives. order of 2.8.2024; order of 26.8.2025

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.27

OBITER

Interim stay of a licensee communication requiring an industrial consumer to register under Clause 4.27 and pay 100% base demand charges to keep uninterrupted supply it had enjoyed at scheduled rates since 2004 under the Industrial Policy; merits left undecided

QUESTION

Where an industrial consumer had, under the 2004 Industrial Policy, received uninterrupted power supply at scheduled rates since 2004, could the licensee, by communication dated 5.11.2012, require it to register under Clause 4.27 of the Supply Code and pay 100% base demand charges to continue that supply, and what interim protection should issue pending decision?

HOLDING

Interim protection was granted and the merits were left open. The Division Bench held that the petitioner's challenge - that, absent any change in the continuing 2004 Industrial Policy under which it had been supplied uninterrupted power at scheduled rates since 2004, the communication dated 5.11.2012 requiring registration under Clause 4.27 and payment of an additional 100% base demand charge was illegal and without authority of law - meant that 'the matter requires consideration'. Noting that the respondents' counsel did not dispute the supply since 2004, that the demand followed a licensee 'mistake ... which went unnoticed', and that similarly situated consumers had availed the facility without registering, the Court found a prima facie case and stayed the effect and operation of the order dated 5.11.2012, directing that the petitioner be entitled to the same benefit as before the impugned order. This was interim only; the writ was later dismissed as infructuous (2.8.2024, interim order vacated) and then restored (26.8.2025), and the lawfulness of the Clause 4.27 registration/100% base-demand-charge demand remains undecided. order of 11.12.2012

> EVIDENCE *“The petitioner is now aggrieved by the communication dated 5.11.2012 issued by the Executive Engineer, respondent no. 5 requiring the petitioner to get itself registered under clause 4.27 of the Electricity Supply Code 2005 for availing protective load facility under which the petitioner would be provided uninterrupted power supply.”* order of 11.12.2012

> EVIDENCE *“Sri Mahboob Ahmad, learned counsel for the respondents does not dispute the fact that the petitioner has been availing the facility of uninterrupted power supply at the scheduled rate since the year 2004 and it was a mistake on the part of the respondent-corporation which went unnoticed”* order of 11.12.2012

> EVIDENCE *“In our view, the matter requires consideration.”* order of 11.12.2012

EVIDENCE *"the petitioner has been made out a prima facie case for grant of interim protection. Accordingly, it is directed that the effect and operation of the order dated 5.11.2012 passed by the respondent no. 5 shall remain stayed till the next date of listing and the petitioner shall be entitled to the same benefit which was being provided prior to the passing of the impugned order."* order of 11.12.2012

FLAG Interim order-sheet of 11 pages, dated orders from 30.11.2012 to 26.8.2025 across several Division Benches, with no printed page numbers and no reasoned final judgment on the merits; pins are order dates. The operative interim protection is the order of 11.12.2012 (Vineet Saran and Mushaffey Ahmad, JJ.). The 2.8.2024 dismissal-as-infructuous bears neutral citation 2024:AHC:125677-DB (Mahesh Chandra Tripathi and Prashant Kumar, JJ.); it was recalled and the writ restored on 26.8.2025 (Mahesh Chandra Tripathi and Nand Prabha Shukla, JJ.). The nested phrase 'protective load facility' is as in the source.

PRINCIPLE TAGS

interim-protection-preserving-pre-existing-uninterrupted-supply On a prima facie challenge to a Clause 4.27 registration/100% base-demand-charge demand, the Court stayed the licensee's communication and directed that the industrial consumer continue to receive the uninterrupted supply at scheduled rates it had enjoyed under the 2004 Industrial Policy since 2004 - an interim arrangement leaving the merits open. order of 11.12.2012

want-of-prosecution-dismissal-vacates-interim-stay On 2.8.2024 the writ was dismissed as infructuous for want of prosecution and the interim order stood vacated; the same posture as SCJ-1565, though here the dismissal was subsequently recalled and the interim protection revived on restoration. order of 2.8.2024

writ-dismissed-as-infructuous-with-liberty-to-move-afresh The 2.8.2024 order dismissed the petition as infructuous by efflux of time with liberty to move for recall within six weeks - the same infructuous-disposal-with-liberty posture as SCJ-1974; unlike there, the liberty was here exercised and the writ restored on 26.8.2025. order of 2.8.2024; order of 26.8.2025

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE LICENSEE COULD LAWFULLY REQUIRE AN INDUSTRIAL CONSUMER - SUPPLIED UNINTERRUPTED POWER AT SCHEDULED RATES UNDER THE 2004 INDUSTRIAL POLICY SINCE 2004 - TO REGISTER UNDER CLAUSE 4.27 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005 AND PAY AN ADDITIONAL 100% BASE DEMAND CHARGE TO CONTINUE THAT SUPPLY

Not decided. Held to require consideration and to warrant interim protection; the writ remains pending after its restoration on 26.8.2025. order of 11.12.2012

NOT DECIDED — WHETHER THE COMMUNICATION DATED 5.11.2012 WAS ILLEGAL AND WITHOUT AUTHORITY OF LAW GIVEN THAT THE 2004 INDUSTRIAL POLICY CONTINUED UNCHANGED

Not decided; entertained as a prima facie case for interim relief only. order of 11.12.2012

RELATED CASES — SEE ALSO

SCJ-1974 — Companion Allahabad order-sheet (same petitioner counsel, same era) in which the Court, finding 'the matter requires consideration', granted interim protection and the writ was later dismissed as infructuous with liberty to move afresh - the same interim-protection-then-infructuous posture engaged here.

SCJ-1564 — Procedural order-sheet in which the Division Bench granted interim protection pending an electricity-dues challenge and the writ remained pending - the same interim-relief-on-a-'needs consideration'-finding posture and order-sheet form.

SCJ-1565 — Holds that a dismissal for want of prosecution vacates the interim stay - the principle applied when this writ was dismissed as infructuous on 2.8.2024 (interim order vacated), before its restoration.

SCJ-194 — On writ restoration (restoration refused where the connection was alleged fraudulent and sub judice) - a contrasting outcome to the restoration allowed here on 26.8.2025 on sufficient cause shown.

SCJ-156 — Principle that the licensee cannot unilaterally alter the determined basis of charges (tariff being for the Commission) - cognate to the petitioner's contention that the licensee could not, without any change in the 2004 policy, impose a fresh 100% base-demand-charge condition.